MAHATMA GANDHI UNIVERSITY, KOTTAYAM MGU-UGP (HONOURS)
REGULAR EXAMINATION MARCH 2026
Fourth SEMESTER Discipline Specific Elective (DSE) - MG4DSEECO201 -
FINANCIAL RISK ANALYSIS (2024 ADMISSION ONWARDS)
Duration: 1 hour 30 minutes Maximum Marks:50
QP Code: 25901215

Part A Multiple Choice Questions. Answer all questions. Each question carries 1 marks.

1. Macroeconomic risk analysis evaluates:

a) The performance of businesses and returns of investors

2. Sovereign debt crisis in Greece was related to:

a) High fiscal deficit and debt

3. Scenario analysis is a:

c) Hybrid tool

4. High accounts receivable may signal:

b) Revenue recognition risk and collection risk

5. When does liquidity risk arise?

a) When there is a sudden cash crunch or overdependence on short-term funds

6. Amount paid periodically by the insured:

b) Premium

7. Example of technological risk (external threat):

c) Cyberattack leading to data breach

8. Credit-Deposit Ratio is calculated as:

b) Loans / Deposits

9. Basel III is associated with:

c) Financial risk (overall banking risk framework including capital & liquidity)

10. Human error in transaction processing is:

b) Operational risk

11. Risk impacts the:

b) Fulfilment of corporate objectives

12. Mark-to-market losses occur due to:

a) Change in market price

13. Provisioning is required for:

c) Non-performing assets

14. Technology associated with automation risk:

b) Artificial Intelligence

15. KRIs are associated with:

a) Risk identification and monitoring

Part B Short Answer Questions. Answer any 10 questions. Each question carries 2 marks

16. Why is maintaining an optimal capital structure important in risk management in corporates?

An optimal capital structure balances debt and equity to minimize cost of capital and financial risk. Too much debt increases default risk, while too much equity reduces returns.

17. Define Time Value of Money.

Time Value of Money (TVM) is the concept that money available today is worth more than the same amount in the future due to its earning potential.

18. How does corporate governance contribute to risk management?

Corporate governance ensures transparency, accountability, and proper decision-making, helping identify, monitor, and control risks effectively.

19. Give two examples of current assets.

Cash and inventory.

20. What is supply chain risk in a corporate context?

Supply chain risk refers to disruptions in the flow of goods, services, or information due to factors like supplier failure, delays, or geopolitical issues.

21. Define legal risk.

Legal risk is the possibility of financial loss due to lawsuits, non-compliance with laws, or contractual disputes.

22. What is SPARC?

SPARC stands for Safety, Performance, Accountability, Risk, and Compliance, a framework used for integrated risk management and organizational effectiveness. It is the Supervisory Programme for Assessment of Risk and Capital (SPARC) framework of the Reserve Bank, under the Risk Based Supervision (RBS) regime

23. What are the major risks of digital transformation?

Cybersecurity threats, data privacy issues, system failures, and resistance to change

24. What are the main liabilities of a financial institution?

Deposits, borrowings, and other financial obligations.

25. What is High-Quality Liquid Asset (HQLA)?

HQLA are assets that can be quickly and easily converted into cash with little or no loss in value, used to meet short-term liquidity needs.

26. What is Pre-Settlement Risk?

Pre-settlement risk is the risk that one party defaults on a contract before the settlement date, causing potential financial loss.

27. Define Derivative market.

A derivative market is a financial market where instruments like futures, options, and swaps are traded, deriving value from underlying assets.

28. What do you mean by Balancing Risk and Return?

Balancing risk and return is a fundamental concept in investment and finance. Investments with higher levels of risk tend to offer higher potential returns, but also have a higher likelihood of loss. Conversely, low-risk investments typically provide lower returns, while lower risk investments offer more stable returns. Therefore, balancing risk and return is achieved by aligning portfolio with specific risk tolerance, financial goals and investment timeline.

Part C Short Essay. Questions Answer any 3 questions. Each question carries 5 marks

29. KPIs vs KRIs (with benefits and drawbacks)

Key Performance Indicators (KPIs) and Key Risk Indicators (KRIs) are both important tools used in organizational management, but they serve different purposes. KPIs measure how well an organization is achieving its objectives, such as profitability, growth, or efficiency, and are typically focused on past or current performance. In contrast, KRIs are used to indicate potential risks that may impact the organization in the future, acting as early warning signals. The benefit of KPIs is that they help track progress, improve decision-making, and enhance accountability; however, they may overlook risks and encourage short-term thinking. On the other hand, KRIs help organizations anticipate and mitigate risks proactively, but they can be difficult to quantify accurately and may sometimes produce false alarms. Both indicators are essential for balanced performance and risk management.

30. Causes of corporate risk (internal and external factors)

Corporate risk in modern organizations arises from a combination of internal and external factors. Internal factors include poor management decisions, ineffective internal controls, employee misconduct, operational inefficiencies, and technological failures. These risks originate within the organization and are generally more controllable. External factors, on the other hand, include economic fluctuations such as inflation or recession, changes in government regulations, intense market competition, natural disasters, and technological disruptions like cyberattacks. These risks are beyond the direct control of the organization but can be managed through strategic planning and risk mitigation techniques. Together, both internal and external factors significantly influence the overall risk profile of a company.

31. Explain SPARC

SPARC is a comprehensive framework used in corporate governance and risk management, representing Safety, Performance, Accountability, Risk, and Capital . It emphasizes ensuring the safety of employees and organizational assets, achieving high performance in operations, maintaining accountability through clear roles and responsibilities, effectively identifying and managing risks, and complying with legal and regulatory requirements. The SPARC framework helps organizations integrate risk management into their daily operations, improve transparency, and strengthen decision-making processes. By focusing on these five elements, organizations can enhance resilience and achieve sustainable growth.

32. Commodity Price Risk

Commodity price risk refers to the potential financial loss that arises due to fluctuations in the prices of commodities such as crude oil, metals, or agricultural products. These price changes can occur due to various factors including supply and demand imbalances, geopolitical tensions, weather conditions, and currency fluctuations. For businesses, this risk can impact both input costs and output prices, thereby affecting profitability and financial stability. For example, an increase in raw material prices raises production costs, while a fall in selling prices reduces revenue. Organizations manage commodity price risk through strategies such as hedging using derivatives like futures and options, diversifying suppliers, and entering into long-term contracts to stabilize prices.

33. Benefits of Credit Risk Assessment

Credit risk assessment is the process of evaluating a borrower's ability to repay a loan and the likelihood of default. It provides several benefits to financial institutions and businesses. Firstly, it helps reduce the chances of lending to high-risk borrowers, thereby minimizing bad debts and financial losses. Secondly, it supports better decision-making by enabling lenders to determine appropriate credit limits and interest rates based on the borrower's risk profile. Additionally, it contributes to financial stability by maintaining a healthy loan portfolio and ensuring efficient allocation of funds. Credit risk assessment also enhances risk-based pricing and builds long-term trust between lenders and borrowers. Overall, it is a crucial tool for maintaining profitability and managing financial risk effectively.

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